

Enterprise Procurement Policy Manual

Inventory Intelligence System - RAG Knowledge Base

1. Purpose

This manual defines procurement standards, inventory governance, and supplier management practices.

2. Procurement Objectives

Maintain uninterrupted production, reduce procurement cost, improve supplier reliability, and minimize stockouts.

3. Procurement Workflow

Purchase Requisition → Approval → RFQ → Supplier Selection → Purchase Order → Goods Receipt → Invoice Verification → Payment.

4. Inventory Classification

Use ABC analysis. Class A items require frequent review. Class C items may use periodic review.

5. Reorder Policy

Raise purchase orders when Current Stock $\leq$ Reorder Point. High criticality items should trigger automatic replenishment.

6. Safety Stock Policy

Maintain safety stock based on lead time variability and demand uncertainty.

7. Days of Supply

Monitor daily. Escalate when Days of Supply falls below 10 days.

8. Consumption Velocity

Track weekly consumption. Rapidly increasing consumption should trigger demand review.

9. Supplier Evaluation

Evaluate suppliers using lead time, quality, cost, reliability, and delivery performance.

10. Approved Vendors

Only approved vendors may receive purchase orders unless emergency approval is granted.

11. Lead Time Management

Monitor average lead time and lead time variability. Flag unreliable suppliers.

12. Minimum Order Quantity (MOQ)

Respect supplier MOQ except under approved emergency procurement.

13. Emergency Procurement

Emergency orders require Procurement Manager approval and must be documented.

14. Purchase Order Rules

Every purchase order must include SKU, quantity, supplier, delivery date, and payment terms.

15. Goods Receipt

Verify quantity and quality before inventory update.

16. Stockout Prevention

Use ML predictions, safety stock, reorder point, and supplier lead time together.

17. AI Procurement Assistant

The AI assistant must combine inventory data, ML predictions, and procurement policies before recommending actions.

18. Hallucination Policy

If information is unavailable, respond with 'Information not available'. Never invent supplier or inventory data.

19. Procurement KPIs

Track Fill Rate, Inventory Turnover, Stockout Rate, Supplier OTIF, Purchase Cycle Time, Procurement Cost.

20. Approval Matrix

Routine purchases: Buyer. High-value purchases: Procurement Manager. Emergency purchases: Operations Head.

21. Compliance

Maintain audit trail for all procurement activities.

22. Risk Management

Identify single-source suppliers and develop alternate sourcing strategies.

23. Sustainability

Prefer environmentally compliant suppliers where possible.

24. AI Agent Decision Rules

Recommend reorder when stock is below reorder point, ML predicts high stockout risk, or supplier lead time exceeds available days of supply.

25. Example Scenario

SKU BRG-0005 has Current Stock=12, Reorder Point=50, Safety Stock=20. Recommendation: Raise purchase order immediately because stock is below reorder point and safety stock.

26. Best Practices

Review procurement policies quarterly and continuously monitor inventory KPIs.